



“We have not done anything with an eye on the rating agencies; we have done it because we believe that it is in the best interests of India’s economy to keep fiscal deficit and debt under check”

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Q: What is your reading on the external situation, because we have two wars, and the Red Sea crisis? How do you see it and is it a concern for India at this stage?

A: India is dependent on imported oil and natural gas and certain kinds of fertilisers, apart from other commodities. For us, anything that disrupts shipping is potentially adverse and a matter of concern. However, various international actions that are being taken are such that I think the consequences are likely to be manageable, especially from a budgetary perspective. **We may see some adverse events, but I think they will be within a magnitude that can be handled within the overall fiscal balance that we have estimated.**

Q: The rate on the public provident fund (PPF) has not changed and that is an issue for many people. What are your thoughts?

A: Everybody refers to the Shyamala Gopinath committee report, but I would say there is one serious lacuna in the interpretation of the report. We have found from our figures, that almost a vast majority of PPF subscribers are taxpayers or at least income tax filers. **For a person who is a taxpayer, the real post-tax return on PPF can be as high as 12%.** The yield to be benchmarked with government securities is the principal in the Shyamala Gopinath report, which the government

had at one time accepted, but we increasingly feel that we have to look at post-tax yield. In terms of post-tax yield, government securities yield about 7-7.5%, but they are taxable. There is no tax relief on the income on government securities. So, there is complete exemption on the income from PPF. We are consciously recalibrating our view on PPF. It is a systemic correction and it should be seen in terms of post-tax yields rather than pre-tax yields. And in that case, the rate on PPF is already very high at 7.1%. For other small savings, it has been increased this year. But none of the other small savings instruments have a complete tax exemption on the income. Some of them have certain 80C benefits, but again, that would depend on whether you use the old system or the new system of taxation, whereas PPF income is completely tax-exempt. Technically, whereas the other small savings instruments are predominantly genuinely small savings, PPF seems to be primarily a tax-saving [instrument].

Q: Will the PPF scheme be revamped?

A: That is not under consideration. **BT**

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This interview took place before the release of the Q3FY24 GDP numbers and the household consumption expenditure survey data